6-8 Chapter Review

6-8a Let's Review Chapter Summary

1. Two objectives of inventory control are safeguarding the inventory and properly reporting it in the financial statements. The perpetual inventory system and physical count enhance control over inventory.

2. The three common inventory cost flow assumptions used in business are the (1) first-in, first-out method (FIFO); (2) last-in, first-out method (LIFO); and (3) weighted average cost method. The cost flow assumption affects the income statement and balance sheet.

3. In a perpetual inventory system, the number of units and the cost of each type of merchandise are recorded in a subsidiary inventory ledger, with a separate account for each type of merchandise.

4. In a periodic inventory system, a physical inventory is taken to determine the cost of the inventory and the cost of goods sold.

5. The three inventory costing methods will normally yield different amounts for (1) the ending inventory, (2) the cost of goods sold for the period, and (3) the gross profit (and net income) for the period.

6. The lower-of-cost-or-market (LCM) method is used to value inventory. The market value is the net realizable value of the merchandise. Inventory is usually presented in the "Current assets" section of the balance sheet, following receivables. The methods of determining the cost and valuing the inventory are reported. Errors in reporting inventory will affect the balance sheet and income statement.

7. Inventory turnover measures the number of times inventory is turned into sold goods during the period. It is computed as Cost of Goods Sold ÷ Average Inventory. The days' sales in inventory measures the length of time it takes to acquire, sell, and replace the inventory. It is computed as Average Inventory ÷ Average Daily Cost of Goods Sold. Generally, the larger the inventory turnover and the lower the days' sales in inventory, the more efficient and effective the company is in managing inventory.

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